

PRINCIPLE OF MARKETING

SHORT POWER POINT

Unit-1 Basic Marketing Concepts

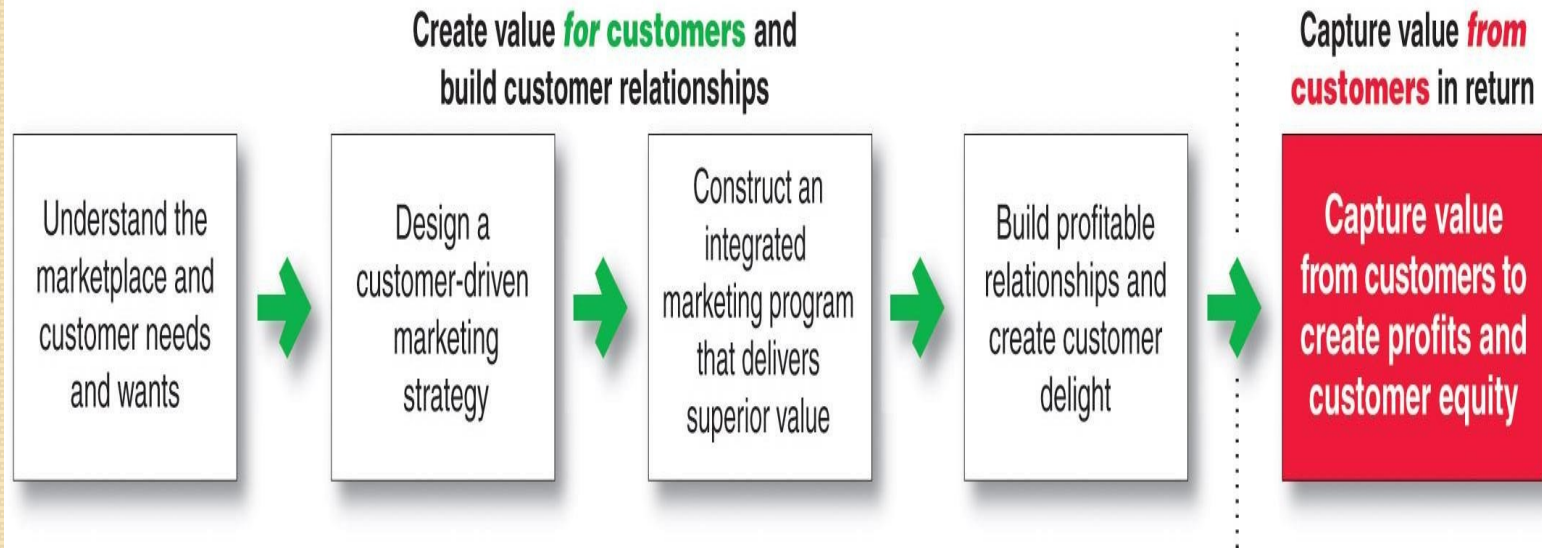
- Objectives:
- Define marketing and outline the steps in the marketing process
- Explain the importance of understanding customers and the marketplace and identify the five core marketplace concepts.
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- Identify the key elements of a customer-driven marketing strategy and discuss the marketing management orientations that guide marketing strategy.
- Discuss customer relationship management and identify strategies for creating value for customers and capturing value from customers in return.
- Describe the major trends and forces that are changing the marketing landscape in this age of relationships

WHAT IS MARKETING?

- Most people think of marketing only as selling and advertising, or “telling and selling.”
- A simple definition of marketing is *managing profitable customer relationships*.
- Every organization must perform marketing functions, not just for-profit companies.
- Nonprofits (colleges, hospitals, churches, etc.) also must perform marketing..
- We define **marketing** as the process by which companies create value for customers and build strong customer relationships in order to capture value from customers in return.

The Marketing Process

The five-step marketing process:



The aim of marketing is to create value for customers in order to capture value from them in return

The marketing process

- In the first four steps, companies work to:
 - ✓ understand consumers
 - ✓ create customer value
 - ✓ build strong customer relationships.
- In the final step, companies reap the rewards of creating superior customer value:
- They in turn capture value *from* consumers in the form of sales, profits, and long-term customer equity

STEP 1: UNDERSTANDING THE MARKETPLACE AND CUSTOMER NEEDS

- Five core customer and marketplace concepts are critical: (1) *needs, wants, and demands*; (2) *marketing offerings (products, services, and experiences)*; (3) *value and satisfaction*; (4) *exchanges and relationships*; and (5) *markets*.
- ❑ **1. Customer Needs, Wants, and Demands**
 - The most basic concept underlying marketing is that of **human needs**.
 - Human **needs** are states of felt deprivation. They include *physical, social, and individual* needs.
 - These needs were not created by marketers; they are a basic part of the human makeup.
 - **Wants** are the form human needs take as they are shaped by culture and individual personality.
 - When backed by buying power, wants become **demands**.

STEP 1: UNDERSTANDING THE MARKETPLACE AND CUSTOMER NEEDS...

- ❑ **Market Offerings-** Involve some combination of products, services, information, or experiences offered to a market to satisfy a need or want
- Needs and wants are fulfilled through **market offerings**—some combination of:
 - ✓ products-physical goods
 - ✓ Services-intangible and do not result in the ownership of anything.
 - ✓ Information, **and *ideas*** or or experiences
- More broadly, marketing offers also include other entities, such as: ***persons, places, organizations***

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- Many sellers make the mistake of paying more attention to the specific products they offer than to the benefits and experiences produced by these products.
 - These sellers suffer from marketing myopia, the mistake of paying more attention to the specific products a company offers than to the benefits and experiences produced by these products.

❑ Customer Value and Satisfaction

Customer value- Benefit vs cost.

Customer expectations are based on:

- ✓ past buying experiences
- ✓ the opinions of friends
- ✓ marketer and competitor information and promises
- ✓ Business firms creates value/utility via different methods.

$$\begin{array}{rcccl} & \text{Benefit} & & & \text{Functional benefits} + \\ & \text{emotional benefits} & & & \\ \text{Value} & = & & = & \\ & \text{Costs} & & & \text{Monetary} + \text{time} + \\ & \text{energy} + \text{psychic costs} & & & \end{array}$$

What are different forms of utility or value?

- On the average, about **half of the money** we spend as consumers goes **to cover marketing costs**.
- A product **provides satisfaction** via value creation
 - What makes a product capable of satisfying want is its **utility**.
 - - It is through **marketing** that products **utility is created**.
- **Kinds of utility that marketing provides:**
 1. **Form Utility**: related with **production** of the physical or chemical changes of the product (e.g., **timber into furniture**)
 2. **Place Utility**: when a product is **accessible** to potential customers.
 3. **Time Utility**: if a product is **available when you want it**.
 4. **Information Utility**: created by **informing** prospective buyers that a product exists
 5. **Possession Utility**: when a customer **buys the product** (ownership is transferred).

STEP 1:.....**MARKETPLACE AND CUSTOMER NEEDS**

- **Marketers must be careful to set the right level of expectations:**
- **Customer satisfaction** depends on the product's perceived performance relative to a buyer's expectations.
- If the product's performance falls short of expectations, the customer is dissatisfied.
- If performance matches expectations, the customer is satisfied.
- If performance exceeds expectations, the customer is highly satisfied or delighted.

Tip: Share your recent purchase experience of a product and post purchase feeling.

STEP 1:.....MARKETPLACE AND CUSTOMER NEEDS

□ *Exchange, Transactions, and Relationships:*

Exchange is the act of obtaining a desired object from someone by offering something in return.

Whereas exchange is the core concept of marketing, a transaction, in turn, is marketing's unit of measurement.

A **transaction** consists of a trade of values between two parties: one party gives X to another party and gets Y in return.

For exchange potential to exist, five conditions must be satisfied:

- 1. There are at least two parties.
- 2. Each party has something that might be of value to the other party.
- 3. Each party is capable of communication and delivery.
- 4. Each party is free to accept or reject the exchange offer.
- 5. Each party believes it is appropriate or desirable to deal with the other party

- **Market** -Originally the term *market* stood for the place where buyers and sellers gathered to exchange their goods, such as a village square.
- Economists use the term *market* to refer to a collection of buyers and sellers who transact in a particular product class, as in the housing market or the grain market.
- Marketers, however, see the sellers as constituting an industry and the buyers as constituting a market.
- Thus, a **market** is the set of actual and potential buyers of a product

STEP 2: DESIGNING A MARKETING STRATEGY

- **Marketing management** is defined as the art and science of choosing target markets and building profitable relationships with them.
- The marketing manager must answer two important questions:
 - ✓ What customers will we serve (what's our target market)? Segmentation & targeting
 - ✓ How can we serve these customers best (what's our value proposition)?

.....DESIGNING A CUSTOMER-DRIVEN MARKETING MARKETING STRATEGY

- **Marketing Management Orientations**
- There are five alternative concepts under which organizations design and carry out their marketing strategies:
 1. Production concept
 2. Product concept
 3. Selling Concept
 4. Marketing concept
 5. Societal marketing

Marketing Management Orientations

1).The Production Concept

- holds that consumers will favor products that are available and highly affordable.
- Makes sense when demand exceeds supply and when Product cost is high.

eg.The demand for Edible oil, fuel, cement, sugar etc. in Ethiopian market.

- Management should focus on improving production and distribution efficiency. .

2).The Product Concept

- holds that consumers will favor products that offer the most in quality, performance, and innovative features.
- Under this concept, marketing strategy focuses on making continuous product improvements

Marketing Management Orientations

3).The Selling Concept

- holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.
- The concept is typically practiced with unsought goods—those that buyers do not normally think of buying, such as insurance or blood donations.
- Product centered, “make and sell” philosophy
- It views marketing not as “hunting,”
- These industries must be good at tracking down prospects and selling them on product benefits.

Marketing Management Orientations

4).The Marketing Concept

- holds that achieving organizational goals depends on knowing the needs and wants of target markets and delivering the desired satisfactions better than competitors do.
- customer focus and value are the *paths* to sales and profits.
- it is a customer-centered “sense and respond” philosophy.
- It views marketing not as gardening-out side-in perspective
- The job is not to find the right customers for your product but to find the right products for your customers.
- Involves researching current customers deeply to learn about their desires, gather new product and service ideas, and test proposed product improvements.
- *Customer-driven* marketing is understanding customer needs even better than customers themselves do and creating products and services that meet existing and latent needs.

Difference between marketing & Selling

Point of Difference	Selling	Marketing
Starting point	Factory	Market place
Focus	Existing product	Customer need
Means	Selling and promotion	Integrated marketing
End	Profit through Volume	Profit through satisfaction

Marketing Management Orientations

5).The Societal Marketing Concept

- questions whether the pure marketing concept overlooks possible conflicts between consumer *short-run wants* and consumer *long-run welfare*
- It calls for *sustainable marketing*, socially and environmentally responsible marketing.
- The societal marketing concept holds that marketing strategy should deliver value to customers in a way that maintains or improves both the consumer's and *society's*

STEP3:PREPARING AN INTEGRATED MARKETING PLAN AND PROGRAM

- The marketing program consists of the firm's *marketing mix*, the set of marketing tools the firm uses to implement its marketing strategy.
- The marketing mix tools are classified into the *four Ps* of marketing: product, price, place, and promotion.
- The firm blends all of these marketing mix tools into a comprehensive *integrated marketing program* that communicates and delivers the intended value to chosen customers.

Step 4: BUILDING CUSTOMER RELATIONSHIPS

□ Customer relationship management

- is the overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction.
- It deals with all aspects of *acquiring, keeping, and growing customers.*

Step 5: CAPTURING VALUE FROM CUSTOMERS

- By creating superior customer value, the firm creates highly satisfied customers who stay loyal and buy more.
- The aim of customer relationship management (CRM) is to create not just customer satisfaction, but customer delight.
- Customer delight creates an emotional relationship with a product or service, not just a rational preference.
- Companies are realizing that losing a customer means losing **customer lifetime value**.



❑ Customer Relationship Levels and Tools

- Companies can build customer relationships at many levels.
- *Basic relationships* - with low-margin customers
- *Full partnerships* in markets with few customers and high margins.
- Many companies offer *frequency marketing programs* that reward customers who buy frequently or in large amounts
- Companies sponsor *club marketing programs* that offer members special benefits and create member communities

Marketing Research

- Systematic and objective identification, collection, analysis, and dissemination of marketing information.
- Role:
 - Descriptive Function.
 - Diagnostic (analytical) Function .
 - Predictive Function
- Area:
 - Market size: number or value of units sold in a given period.
 - Market Share: firm's share out of the whole market of a product
 - Market penetration: a marketing strategy.
 - Brand equity research : how favorably consumers view the brand.
 - Buyer decision processes research: to determine what motivates people to buy and what decision-making process they use.
 - Customer Satisfaction: to assess about customers.

Market Research Process:

1. Define the research purpose or objectives.
2. Research Design Formulation.
3. Gather secondary and primary Data
4. Data Processing and Analysis
5. Report Preparations and Presentation/Dissemination

Marketing Intelligence

- Systematic gathering, analyzing, supplying and applying information about the external market environment.
- used to determine:
 - Current and future market needs,
 - Business environment changes, that will affect the market
 - Environment that may affect the future market.
- Importance:
 - Market and customer orientation – promote external focus.
 - Identification of new opportunities.
 - Smart segmentation.
 - Early warning of competitor moves.
 - Minimizing investment risks.
 - Quicker, more efficient and cost-effective information

CH-2 ANALYZING MARKETING ENVIROBNMENT

1. Objectives

2. Describe the environmental forces that affect the company's ability to serve its customers.
3. Explain how changes in the demographic and economic environments affect marketing decisions.
4. Identify the major trends in the firm's natural and technological environments.
5. Explain the key changes in the political and cultural environments.
6. Discuss how companies can react to the marketing environment

Marketing Environment

- More than any other group in the company, marketers must be environmental trend trackers and opportunity seekers.
- By carefully studying the environment, marketers can adapt their strategies to meet new marketplace challenges and opportunities
- Marketing environment -involves the actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers.
- It consists of a microenvironment and a macroenvironment

Marketing Environment....

- Microenvironment- The actors close to the company that affect its ability to serve its customers— the company, suppliers, marketing intermediaries, customer markets, competitors, and publics.
- Macroenvironment- The larger societal forces that affect the microenvironment — demographic, economic, natural, technological, political, and cultural forces

Marketing Microenvironment

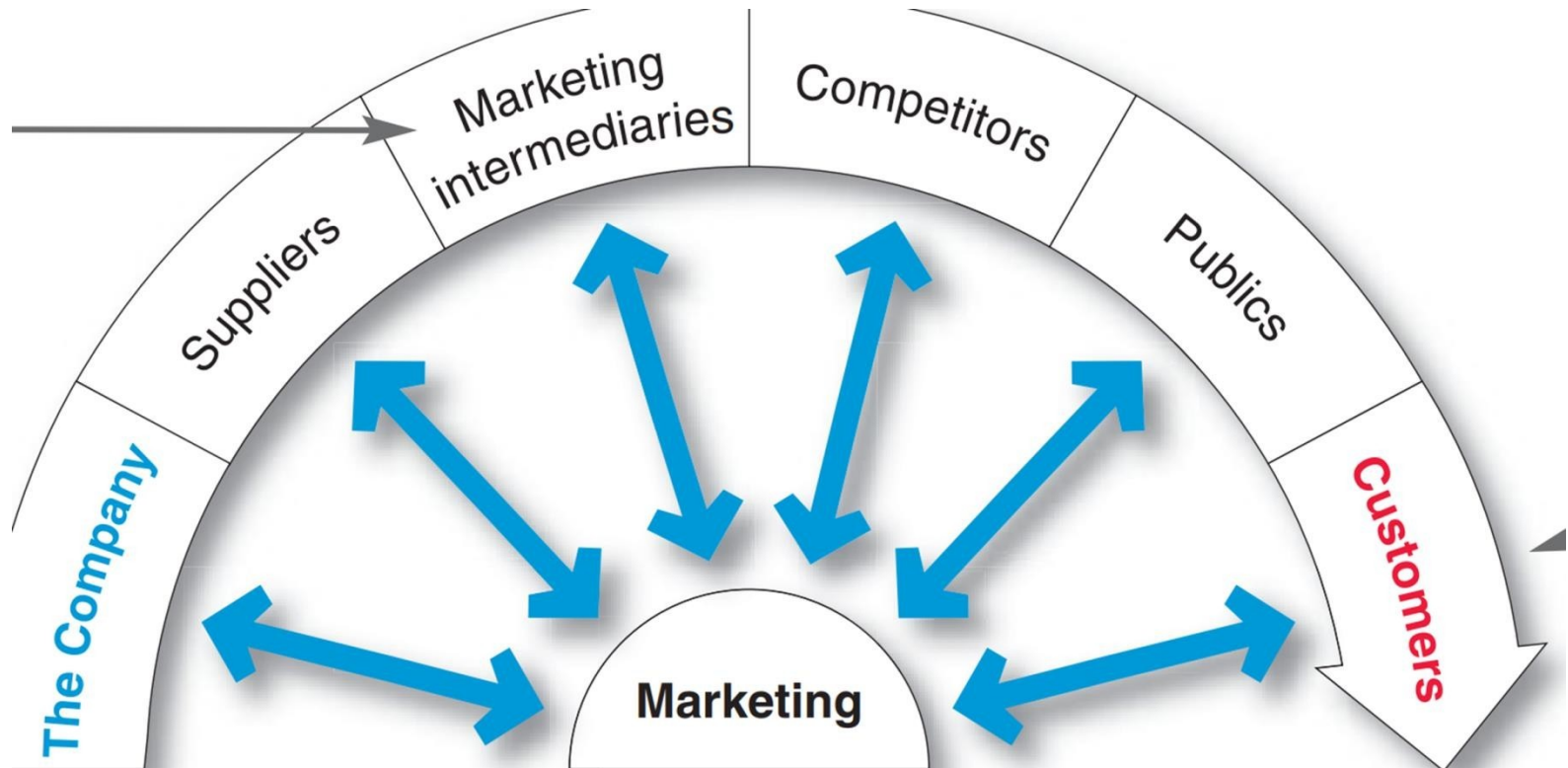


Fig 2.1. Major Forces in the Company's
Macro environment

Microenvironment....cont'd

1. The Company.

In designing marketing plans, marketing management takes other company groups into account—groups such as:

- top management
- Finance & accounting
- research and development (R&D)
- purchasing
- operations

All of these interrelated groups form the internal environment.

Micro environmental forces

II. Suppliers: It provides raw material to produce goods and services.

- Most marketers today treat their suppliers as partners in creating and delivering customer value
- Suppliers can influence the profit of an organization because the price of raw material determines the final price of the product.
- Organizations need to monitor suppliers on a regular basis to know the supply shortages and change in the price of inputs.

III. Marketing Intermediaries:

- help organizations in establishing a link with customers.
- They help in promoting, selling, and distributing products

Microenvironment....cont'd

Intermediaries

s Include

- ❖ **Resellers:** purchase the products from the organizations and sell to the customers. Examples of resellers are wholesalers and retailers.
- ❖ **Physical distribution firms:** help the company stock and move goods from their points of origin to their destinations.
eg. A warehouse
- ❖ **Marketing Agencies:** promote the organization's products by making the customers aware about benefits of products.
eg. marketing research firms, advertising agencies, media firms, and marketing consulting firms
- ❖ **Financial Intermediaries:** provide finance for the business transactions.
- ✓ Examples of financial intermediaries are banks, credit organizations,

Microenvironment....cont'd

III. Customers: Customers buy the product of the organization for final consumption.

- The main goal of an organization is customer satisfaction.
- The organization undertakes the research and development activities to analyze the needs of customers and manufacture products according to those needs.

IV. Competitors: Competition refers to a situation where various organizations offer similar products and try to gain market share by adopting different marketing strategies.

- a company must provide greater customer value and satisfaction than its competitors do

Microenvironment....cont'd

V. Publics

- **Financial publics.** This group influences the company's ability to obtain funds. Eg. Banks, investment analysts,
- **Media publics.** This group carries news, features, and editorial opinion. It includes newspapers,
- **Government publics.** Regulations related to product safety,
- **Citizen-action publics.** consumer organizations, environmental groups, minority groups, and others
- **Local publics.** includes neighborhood residents and community organizations.

The macro environment

The company and all of the other actors operate in a larger microenvironment of forces that shape opportunities and pose threats to the company.

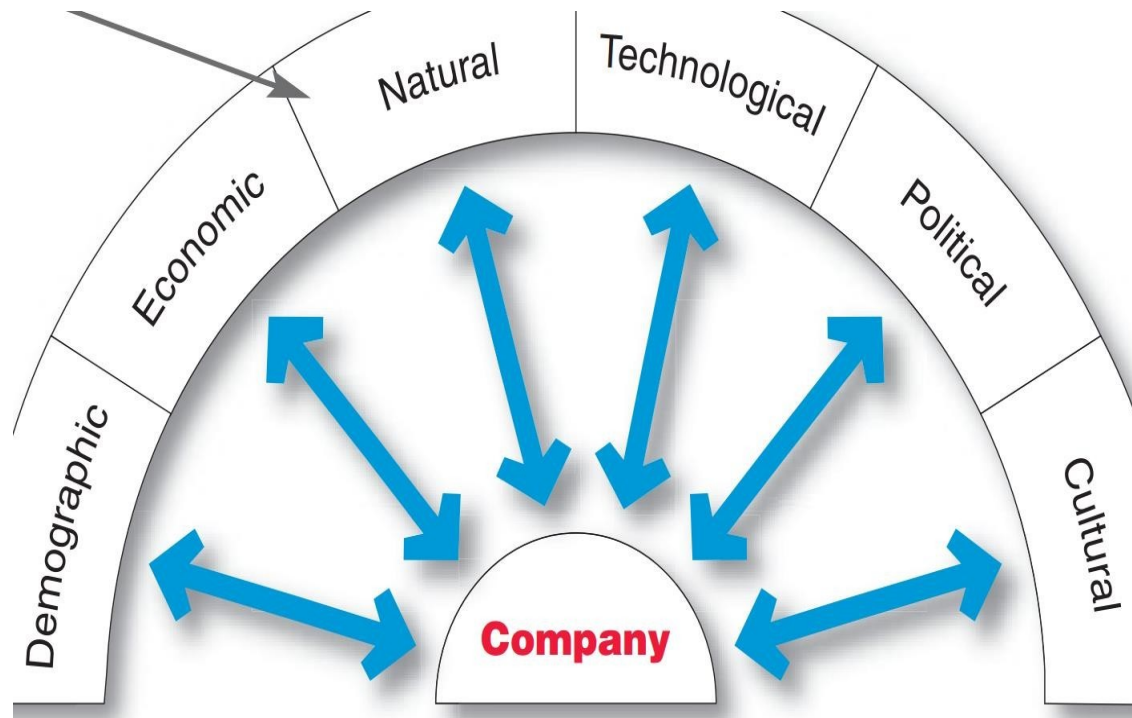


Fig 2.2. Major Forces in the Company's Macro environment

The macro environment....cont'd

1. The Demographic Environment

- Demography is the study of human populations in terms of:
 - Size: large or small
 - density,
 - Location:
 - Age: dominant age- children, youngsters, older
 - Gender: Males, females,
 - race and diversity- ethnic and racial makeup of countries
 - Educated, occupation: professionals
- Mobility of population: between and within countries
- The demographic environment is of major interest to marketers because it involves people, and people make up markets.
- The changes in demographic environment persuade an organization to modify marketing strategies to address the altering needs of customers.

The macro environment....cont'd

II. The Economic Environment

The economic environment consists of economic factors that affect consumer purchasing power and spending patterns.

- **distribution of income: countries vary as**
- ✓ **industrial economies**, which constitute rich markets for many different kinds of goods
- ✓ **subsistence economies**; they consume most of their own agricultural and industrial output and offer few market opportunities.
- ✓ **developing economies** that can offer outstanding marketing opportunities for the right kinds of products

The macro environment....cont'd

- **Inflation:** It influences the customers' demand for different products. For example, higher petrol prices lead to a fall in demand for cars.
- **Interest Rates:** It determines the borrowing activities of the organization. For example, increase in interest rates for loan may lead organizations to cut their important activities.
- **Unemployment:** It leads to a no income state, which affects the purchasing power of an individual.
- **Income:** The change in the customer's income leads to changed spending patterns for the products, such as food and clothing.

The macro environment....cont'd

III. The Natural Environment

involves the natural resources that are needed as inputs by marketers or

that are affected by marketing activities

Marketers should be aware of several trends in the natural environment:

- **shortages of raw materials:** water, forests and food, oil, coal, and various minerals, pose a serious problem
- **Pollution:** the disposal of chemical and nuclear wastes, the quantity of chemical pollutants in the soil and food supply; and the littering of the environment with non-biodegradable bottles, plastics, and other packaging materials.
- **increased government intervention:** concern and efforts to promote a clean environment
- **Environmental sustainability** Developing strategies and practices that create a world economy that the planet can support indefinitely

The macro environment....cont'd

IV. The Technological Environment

- This is perhaps the most dramatic force now shaping our destiny
- It also has released such horrors as nuclear missiles, chemical weapons, and assault rifles
- It has released such mixed blessings as the automobile, television, and credit cards.
- Our attitude toward technology depends on whether we are more impressed with its wonders or its blunders.
- **Pace of Technological Change** New technologies create new markets and opportunities. However, every new technology replaces an older technology
- For instance, CDs hurt phonograph records, and digital photography hurt the film business

The macro environment....cont'd

- ❑ **R&D-** Scientists today are researching a wide range of promising new products and services, ranging from practical solar energy, electric cars and etc.
- Many companies are adding marketing people to R&D teams to try to obtain a stronger marketing orientation. Scientists also speculate on fantasy products, such as flying cars and space colonies
- The challenge in each case is not only technical but also commercial—to make practical, affordable versions of these products
- ❑ **Increased Regulation**
- As products and technology become more complex, the public needs to know that these are safe.
- Thus, government agencies investigate and ban potentially unsafe products.
- Marketers should be aware of these regulations when applying new technologies and developing new products

The macro environment....cont'd

- ❑ The Political and Social Environment
 - The political environment consists of laws, government agencies, and pressure groups that influence or limit various organizations and individuals in a given society
 - Even the most liberal advocates of free-market economies agree that the system works best with at least some regulation.
 - Well-conceived regulation can encourage competition and ensure fair markets for goods and services.
 - Thus, governments develop public policy to guide commerce—sets of laws and regulations that limit business for the good of society as a whole.
 - Almost every marketing activity is subject to a wide range of laws and regulations
- ❑ **Increasing Legislations:** related to competition, fair trade practices, environmental protection, product safety, truth in advertising, consumer privacy, packaging and labeling, pricing, and other important area.
- ❑ Marketers must work hard to keep up with changes in regulations and their interpretations

The macro environment....cont'd

Business legislation has been enacted for a number of reasons.

- I. to protect companies from each other. Although business executives may praise competition, they sometimes try to neutralize it when it threatens them
- II. to protect consumers from unfair business practices
 - Some firms, if left alone, would:
 - make shoddy products,
 - invade consumer privacy,
 - mislead consumers in their advertising,
 - and deceive consumers through their packaging and pricing
- III. to protect the interests of society against unrestrained business behavior
 - Regulation arises to ensure that firms take responsibility for the social costs of their production or products

❑ **Changing Government Agency Enforcement.**

- government agencies have some discretion in enforcing the laws, they can have a major impact on a company's marketing performance
- New laws and their enforcement will continue to increase.
- Business executives must watch these developments when planning their products and marketing programs.
- Marketers need to know about the major laws protecting competition, consumers, and society. at the local, state, national, and international levels.

❑ **Increased Emphasis on Ethics and Socially Responsible Actions**

- Beyond written laws and regulations, business is also governed by social codes and rules of professional ethics

The macro environment...cont'd

- ❑ **Socially Responsible Behavior-socially** responsible firms actively seek out ways to protect the long-run interests of their consumers and the environment
 - There has been an explosion in the amount of personal digital data available
 - Users, themselves, supply some of it.
 - They voluntarily place highly private information on social-networking sites, such as Facebook or LinkedIn
 - Much of the information is systematically developed by businesses seeking to learn more about their customers, often without consumers realizing that they are under the microscope.
 - Legitimate businesses plant cookies on consumers' PCs and collect, analyze, and share digital data from every move consumers make at their Web sites
 - As a result, consumer advocates and policymakers are taking action to protect consumer privacy
- ❑ **Cause-Related Marketing**
 - To exercise their social responsibility and build more positive images, many companies are now linking themselves to worthwhile causes
 - For instance, for every pair of TOMS shoes that customers bought, the company would donate another pair of shoes to a child in need around the world

The macro environment....cont'd

V.The Cultural Environment

- The cultural environment consists of institutions and other forces that affect a society's basic values, perceptions, preferences, and behaviors.
- People grow up in a particular society that shapes their basic beliefs and values.
- They absorb a worldview that defines their relationships with others.
- cultural characteristics can affect marketing decision making include:
 - a. The Persistence of Cultural Values
 - Core beliefs and values are passed on from parents to children and are reinforced by schools, churches, business, and government. Eg. Believing in marriage
 - Secondary beliefs and values are more open to change. Eg. Getting married early in life

The macro environment....cont'd

❑ **Shifts in Secondary Cultural Values**

- Marketers want to predict cultural shifts to spot new opportunities or threats:
 - **People's Views of Themselves.** People use products, brands, and services as a means of self-expression
 - Some people see themselves as sharers and joiners; others see themselves as individualists.
 - **People's Views of Others.**
 - **People's Views of Organizations.**
 - **People's Views of Society-Marketers** respond with patriotic products and promotions, offering everything from floral bouquets to clothing with patriotic themes.
 - **People's Views of Nature**-people have recognized that nature is finite and fragile; it can be destroyed or spoiled by human activities.
- People's Views of the Universe-religious view of the society,

Responding to the Marketing Environment

Types of companies in response to environment:

1. **Reactive**- view the marketing environment as an uncontrollable element to which they must react and adapt
 - They analyze environmental forces and design strategies that will help the company avoid the threats and take advantages
2. **Proactive**-develop strategies to change the environment.
 - take aggressive actions to affect the publics and forces in their marketing environment.
 - hire lobbyists to influence legislation affecting their

Discussion questions

- Distinguish between micro-environmental and macro environmental forces
- List the types of company's internal environment and discuss their influence on marketing function
- Discuss external environmental forces with examples
- Explain the way firms respond to environmental forces

Ch-3: Analyzing Consumer Market and Business Market Behavior

3.1. Consumer market and Buyer behavior

- Consumer behavior is the process & activities people engage in when searching for, selecting, purchasing, using, evaluating & disposing of products, so as to satisfy their needs & desires
- **Consumer buyer behavior** refers to the buying behavior of final consumers— individuals and households who buy goods and services for personal consumption.
- All of these consumers combine to make up the **consumer market**.

Model of Consumer Behavior

- Most large companies research consumer buying decisions in great detail to answer questions about:
 - what consumers buy,
 - where they buy,
 - how and how much they buy,
 - when they buy, and why they buy.
- Marketers can study actual consumer purchases to find out what they buy, where, and how much. But learning about the *whys* of consumer buying behavior is not so easy—the answers are often locked deep within the consumer's mind.
- The central question for marketers is: How do consumers respond to various marketing efforts the company might use?
- The starting point is the stimulus-response model of buyer behavior shown in Figure 2.1.

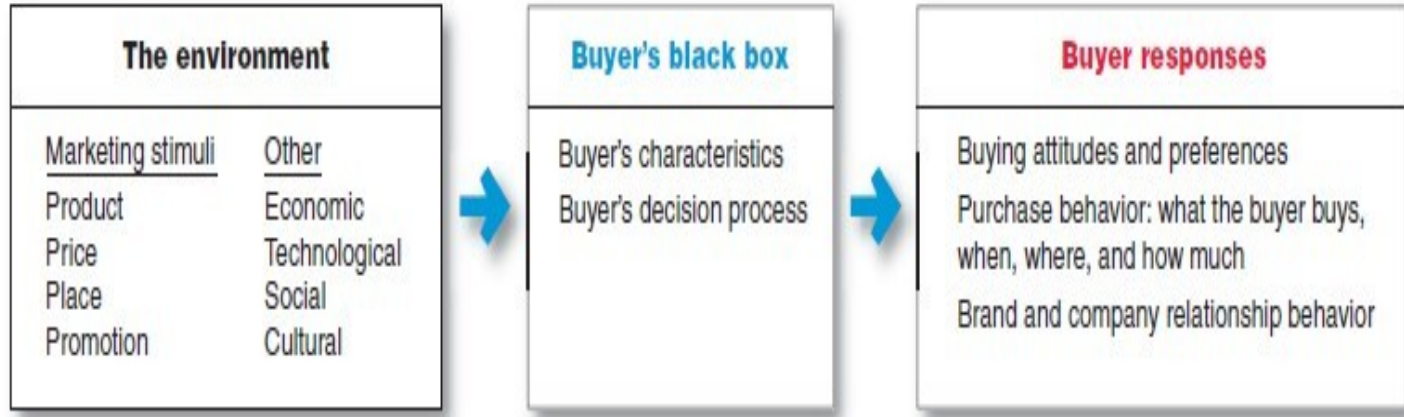


Fig. 2.1. stimulus-response model of buyer behavior

- Marketing stimuli consist of the four Ps: product, price, place, promotion.
- The marketer wants to understand how the stimuli are changed into responses inside the consumer's "black box," which has two parts.
- The buyer's characteristics influence how he or she perceives and reacts to the stimuli.

Major factors influencing consumer

Major factors influencing consumer Behavior

Behavior:

(cultural, social, personal, psychological)

1) Cultural Factors Influencing Buyer Behaviour

(Culture, subculture, and social)

i) Culture. Culture is the most fundamental determinant of a person's wants and behaviour.

ii) Subculture. include nationalities, religions, racial groups, and geographic regions.

- Many subcultures make up important market segments, leading marketers to tailor products and marketing programs to their needs.

Cultural Factors.....con'd

iii). **Social class.** Social classes are relatively homogeneous and enduring divisions in a society.

- They are hierarchically ordered and their members share similar values, interests, and behaviour
- Those within each social class tend to behave more alike than do persons from different social classes
- Also, within the culture, persons are perceived as occupying inferior or superior positions according to social class.

2). Social Factors Influencing Buyer Behavior

social factors as reference groups, family, and social roles and statuses.

i). **Reference Groups** . consist of all of the groups that have a direct (face-to-face) or indirect influence on a person's attitudes or behavior.

- Groups that have a direct influence on a person are called ***membership groups- primarily such as*** family, friends, neighbors, and co-workers, with whom individuals interact fairly continuously and informally.
- Secondary groups, such as professional and trade-union groups, tend to be more formal and require less continuous interaction.
- Reference groups expose people to new behaviors and lifestyles, influence attitudes and self-concept, and create pressures for conformity that may affect product and brand choices.

Social Factors Influencing Buyer Behavior

ii). Behavior

Family

- A more direct influence on the everyday buying behavior of adults is the family of procreation—namely, one's spouse and children.
- Marketers are interested in the roles and relative influence of the husband, wife, and children in the purchase of a large variety of products and services. These roles vary widely in different cultures and social classes.
- Depending on the purchase and individuals involved they may perform one or many roles. These are:
- Information gatherer, (2). Influencer, (3). Decision maker (4.) Purchaser, (5). Users/Consumer
- All the family members are consumers. Some products within family decision-making are dominated by the husband or wife

Social Factors Influencing Buyer Behavior

iii). ^{Behavior} Role and status

- A person participates in many groups, such as family, clubs, or organizations.
- The person's position in each group can be defined in terms of **role and status**.
- A role consists of the activities that a person is expected to perform. Each role carries a status.
- In general, people choose products that communicate their role and status in society.
- Thus, company presidents often drive Mercedes & wear expensive suits

3). Personal Factors Influencing Buyer Behavior

i). Age and Stage in the Life Cycle. People buy baby food in the early years, most foods in the growing and mature years, and special diets in the later years.

- Similarly, consumption is shaped by the family life cycle. Yet target households are not always family based: There are also single households, gay households, and cohabiter households.

ii). Occupation and Economic Circumstances.

- . A **blue-collar** worker will buy work clothes and lunchboxes, while a **company president** will buy expensive suits and a country club membership.

Cont'd..

- For this reason, marketers should identify the occupational groups that are more interested in their products and services, and consider specializing their products for certain occupations.
- Software manufacturers, for example, have developed special programs for lawyers, physicians, and other occupational groups.
- **a consumer's economic circumstances:**
spendable income savings and assets.
- ***If a recession is likely, marketers can redesign, reposition, and reprice their products to offer more value to target customers.***

3). Personal Factors Influencing Buyer Behavior

Lifestyle

- *A lifestyle is the person's pattern of living in the world as expressed in activities, interests, and opinions.* Lifestyle portrays the "whole person" interacting with his or her environment.
- For instance, Actualizers: often reflect cultivated tastes for relatively upscale, niche-oriented products.
- On the other hand strugglers are elderly, resigned, passive, concerned, and resource-constrained consumers who are cautious and loyal to favorite brands.
- Successful marketers search for relationships between their products and lifestyle groups. For example, a computer manufacturer might find that most computer buyers are achievement-oriented. The marketer may then aim its brand more clearly at the achiever lifestyle.

3). Personal Factors Influencing Buyer Behavior

iii). Personality and Self-Concept

- Each person has a distinct personality that influences buying behavior.
- *Personality refers to the distinguishing psychological characteristics that lead to relatively consistent and enduring responses to environment.*
- Personality is usually described in terms of such traits as *self-confidence, dominance, autonomy, deference, sociability, defensiveness, and adaptability.*
- Personality can be useful in analyzing consumer behavior, provided that personality types can be classified accurately and that strong correlations exist between certain personality types and product or brand choices.
- For example, a computer company might discover that many prospects show high self-confidence, dominance, and autonomy, suggesting that computer ads should appeal to these traits.

3). Personal Factors Influencing Buyer Behavior

iv). Self-concept (self-image) is related to personality. Marketers often try to develop brand images that match the target market's self-image.

- Yet it is possible that a person's actual self-concept (how she views herself) differs from her ideal self- concept (how she would like to view herself) and from her others-self-concept (how she thinks others see her).
- Which self-will she try to satisfy in making a purchase?
- Because it is difficult to answer this question, self- concept theory has had a mixed record of success in predicting consumer responses to brand images.

4. Psychological Factors Influencing Buyer Behavior

Include: motivation, perception, learning, beliefs, and attitudes

i). Motivation: can be defined as the driving force within individuals that leads them to action. This driving force is produced by a state of tension, or as a result of an unfulfilled need

- A person has many needs at any given time. Some needs are biogenic; they arise from physiological states of tension such as hunger, thirst, discomfort.
- Other needs are psychogenic; they arise from psychological states of tension such as the need for recognition, esteem, or belonging.
- A need becomes a motive when it is aroused to a sufficient level of intensity.

Psychological Factors...con'd

❑ Freud's theory.

Assumed that the psychological forces shaping people's behavior are largely unconscious, and that a person cannot fully understand his or her own motivations.

❑ Maslow's theory.

- *His theory is that human needs are arranged in a hierarchy, from the most to the least pressing.*
- A consumer will try to satisfy the most important need first; when that need is satisfied, the person will try to satisfy the next-most-pressing need.

Herzberg's theory.

- developed a two-factor theory that distinguishes dissatisfiers (factors that cause dissatisfaction) from satisfiers (factors that cause satisfaction).
- The absence of dissatisfiers is not enough; satisfiers must be actively present to motivate a purchase.

Psychological Factors....con'd

ii). Perception

- *Perception is the process by which an individual organizes, and interprets information inputs to create a meaningful picture of the world.*
- Individuals can have different perceptions of the same object because of three perceptual processes: selective attention, selective distortion, and selective retention.

iii). Learning

- When people act, they learn. *Learning involves changes in an individual's behavior that arise from experience.*
- Most human behavior is learned. Theorists believe that learning is produced through the interplay of drives, stimuli, cues, responses, and reinforcement.

Psychological Factors...con'd

Beliefs and Attitudes

- *A belief is a descriptive thought that a person holds about something.*
- beliefs make up product and brand images, and people act on their images.
- Particularly important to global marketers is the fact that *buyers often hold distinct beliefs about brands or products based on their country of origin.* .
- Therefore, the company can consider *co-production with a foreign company that has a better name.* Another alternative is *to hire a well-known celebrity to endorse the product.*
- An attitude is a person's enduring favorable or unfavorable evaluations, emotional feelings, and action tendencies toward some object or idea such as religion, politics, clothes, music, and food
- . Because attitudes economize on energy and thought, they are very difficult to change; to change a single attitude may require major adjustments in other attitudes.
- Thus, a company would be well advised to fit its product into existing attitudes rather than to try to change people's attitude

Types of Buying Decision Behavior

- Consumers buying decision behavior varies with the type of buying decision.
 - More complex decisions usually involve more buying participants and more buyer deliberation. Below are types of buying behavior :
1. **Complex buying behavior:-**
 - Consumers may be highly involved when the product is expensive, risky, purchased infrequently and highly self-expressive.
 - Here buyers will pass through a learning process, first developing beliefs about the product, then attitudes, and then make a thoughtful purchase choice.
 - Marketers need to help buyers learn about a product -class attributes and their relative and about what the company's brand offers on the important attributes .
 - They need to differentiate their brand's features, perhaps by describing the brand's beliefs.

2. Dissonance - Reducing buying behavior.

- Involves the situation where the products may be expensive, infrequent, or risky purchase, but there is little differences among brands.
- In this case, because perceived brand differences are not large, buyers may shop around to learn what is available, but buy relatively quickly.
- They may respond primarily to a good price or to purchase convenience .
- After the purchase, consumers might experience post purchase dissonance (after-sale -discomfort) when they:
 - notice certain disadvantage of the purchased product brand
 - or hear favorable things about brands not purchased.
- To counter such dissonance, the marketer's after sale communication should provide evidence and support to help consumers feel good about the brand choices.

3. Habitual buying behaviour:-

- applies to low-involvement products such as salt.
- Consumers keep buying the same brand out of habit, not due to strong brand loyalty,.
- Here marketers usually use *price and sales promotions to stimulate product trial*.

4. Variety -seeking buying

- In this cases, consumers often do a lot of brand switching for the sake of variety rather than because of dissatisfaction.
- The market leader will try to encourage habitual buying behavior by dominating shelf space, avoiding out-of-stock conditions and running frequent reminder advertising.
- Challenger firms will encourage variety seeking by offering lower prices, deals, coupons, free samples and advertising that presents reasons for trying something new.

The Buying Decision Process: The Five-Stage Model

- The buyer decision process consists of five. But consumers do not always pass through all five stages in buying a product.
- They may skip or reverse some stages

1. Problem/need recognition:

- The need can be triggered by internal or external stimuli. Marketers need to identify the circumstances that trigger particular need .
- By gathering information from a number of consumers; marketers can identify the most frequent stimuli that spark an interest in a product category.
- They can then develop marketing strategies that trigger consumer interest.

2 Information Search

- ❏ If the consumer's drive is strong and a satisfying product is near at hand, the consumer is likely to buy it then. If not the consumer may not store the need in memory or undertake an information search related to the need.
- ❏ The consumer can obtain information from any of several sources:
 - *Personal Source*: family, friends, neighbors, acquaintances.
 - *Commercial Sources*: advertising, salespersons, dealers, packages, displays
 - *Public Sources*: mass media, consumer-rating organizations.
 - **Experiential**. Handling, examining and using the product.
- ❖ the consumer receives the most information about a product from commercial sources—that is, marketer-dominated sources.
- ❖ the most effective information often comes from personal sources or public sources that are independent authorities.

3 Evaluations of Alternatives

Certain basic concepts help explain consumer evaluation process:

- We assume that each consumer sees a product as a bundle of product attributes.
- The consumer will attach different degrees of importance to different attributes according to his/her needs and wants.
- The consumer is likely to develop a set of brand beliefs about where each brand stands to each attribute.
- The consumer's expected total product satisfaction will vary with levels of different attributes.
- The consumer arrives at attitudes toward (through) the different brands through some evaluation procedure.
- **Eg. Cameras.** Picture sharpness, camera speeds, camera size, and price (2). **Hotels.** Location, cleanliness, atmosphere, price
- Marketers should study buyers to find out how they actually evaluate brand alternatives.

- 
4. **Purchase decisions:** - In the evaluation stage, the consumer ranks brands and forms purchase intentions.
- Generally, *the consumer's purchase decisions will be to buy the most preferred brand*, but *two factors can come between the purchase intention and the purchase decision*.
 - The first factor is *the attitudes of others*. The second factor is *unexpected situational factors*
 - unexpected events may change the purchase intention. Thus, preferences and even purchase intentions do not always result in actual purchase choice.



5. Post purchase behaviour:- After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in post purchase behaviour of interest to the marketer. Marketers must monitor:

I. Post purchase satisfaction. Satisfaction is a *function of the closeness between expectations and the product's perceived performance*

- These feelings make a difference in whether the customer buys the product again and talks favourably or unfavourably about it to others

II. Post purchase Action. If the consumer is satisfied, he or she will exhibit a higher probability of purchasing the product again.

- the satisfied customer will also tend to say good things about the brand to others. Marketers say: "*Our best advertisement is a satisfied customer.*"

Cont'd

- Dissatisfied consumers may abandon or return the product. They may seek information that confirms its high value.
- They may take public action by complaining to the company, going to a lawyer, or complaining to other groups (such as business, private, or government agencies).
- Private actions include making a decision to stop buying the product (exit option) or warning friends (voice option).

iii. Post purchase use and disposal - A key driver of sales frequency is product consumption rate—the more quickly buyers consume a product, the sooner they may be back in the market to repurchase it.

3.2. ANALYZING BUSINESS MARKETS & BUSINESS BUYING BEHAVIOR

Business markets have several characteristics

- ❑ **Fewer, larger buyers..** A few number of buyers purchase large volume
in such industries as aircraft engines and defense weapons.
- ❑ **Close supplier-customer relationship.** Business buyers often select suppliers who also buy from them.
- An example would be a paper manufacturer that buys chemicals from a chemical company that buys a considerable amount of its paper.
- ❑ **Professional purchasing.** Business goods are often purchased by trained purchasing agents, who must follow their organizations' purchasing policies, constraints, and requirements.
- Many of the buying instruments—for example, requests for quotations, proposals, and purchase contracts—are not typically found in consumer buying.

❑ **Several buying influences.**

- Buying committees consisting of technical experts and even senior management are common in the purchase of major goods.
- Business marketers have to send well-trained sales representatives and sales teams to deal with the well-trained buyers. .

❑ **Derived demand.** The demand for business goods is ultimately derived from the demand for consumer goods.

- For this reason, the business marketer must closely monitor the buying patterns of ultimate consumers.
- For instance, the Big Three automakers in Detroit have been driving the boom in demand for steel-bar products.

- ❑ **Geographically concentrated buyers.**

- Most of Ethiopian business buyers are concentrated in Addis Ababa.
 - The geographical concentration of producers helps to reduce selling costs. At the same time, business marketers need to monitor regional shifts of certain industries
- ❑ **Direct purchasing.** Business buyers often buy directly from manufacturers rather than through intermediaries, especially items that are technically complex or expensive (eg. Ethiopian airlines purchases air planes from Boeing aircrafts company directly).

BUYING SITUATIONS IN BUSINESS MARKET

- Depends on complexity of the problem being solved, newness of the buying requirement, and number of people involved, and time required.
- Patrick Robinson and others distinguish three types of buying situations: the straight rebuy, modified rebuy, and new task.

1. STRAIGH RE-BUY .

- The purchasing department reorders on a routine basis (e.g., office supplies, bulk chemicals) and chooses from suppliers on an "approved list."
- The suppliers make an effort to maintain product and service quality and often propose automatic reordering systems to save time.

2. MODIFIED RE BUY. Involves the situation where the buyer wants to determine product specification, price limits, delivery terms and times, service terms, payment terms, order quantities, acceptable suppliers and the selected suppliers

3. NEW TASK. A purchaser buys a product or service for the first time (e.g., office building, new security system).

- The greater the cost or risk, the larger the number of participants and the greater their information gathering—and therefore the longer the time to a decision completion.
- New-task buying passes through several stages; awareness, interest, evaluation, trial and adoption.
- Communication tools effectiveness varies at each stage; sales people have their greatest impact at the interest stage; and technical sources are the most important during the evaluation stage

THE BUYING CENTERS IN AN ORGANIZATION

The buying center includes all members of the organization who play any of

seven roles in the purchase decision process:

- **Initiators.** Those who *request* that something be purchased.
- **Users.** Those who will use the product or service (work with it)
- **Influencers.** Involve technical personnel often help define specifications and also provide information for evaluating alternatives.
- **Deciders.** People who decide on product requirements or on suppliers.
- **Approvers.** People who authorize the proposed actions of deciders
- **Buyers.** People who have formal authority to select the supplier and arrange the purchase terms.
- **Gatekeepers.** People who have the power to prevent sellers or information from reaching members of the buying center.
- For example, purchasing agents, receptionists, and telephone

The process of organizational buying

1. Problem Recognition

- The company may decide to develop a new product and needs new equipment and materials.
- A machine breaks down and requires new parts

ii. General Need Description

- the buyer determines the needed item's general characteristics and required quantity: to define characteristics like reliability, durability, or price.

iii. Product Specification

- develops the item's technical product specifications, often with the help of a value analysis engineering team.
- Value analysis is an approach to cost reduction in which components are studied carefully to determine if they can be redesigned, standardized or made by less costly methods of production

The process of organizational buying ...

- 5. Supplier Search
 - The buyer next tries to identify the most appropriate suppliers through trade directories, contacts with other companies, trade advertisements, and trade shows.
 - Business marketers also put products, prices, and other information on the Internet.
- 6. Proposal Solicitation
 - The buyer invites qualified suppliers to submit proposals. If the item is complex or expensive, the buyer will require a detailed written proposal from each qualified supplier.
 - After evaluating the proposals, the buyer will invite a few suppliers to make formal presentations.

The process of organizational buying ...

6. Supplier Selection

- Before selecting a supplier, the buying center will specify desired supplier attributes and indicate their relative importance.
- The choice and importance of different attributes varies with the type of buying situation.

7. Order-Routine Specification

- After selecting suppliers, the buyer negotiates the *final order, listing the technical specifications, the quantity needed, the expected time of delivery, return policies, warranties, and so on.*

The process of organizational buying ...

8. Performance Review

- The buyer periodically reviews the performance of the chosen supplier(s).
- Three methods are commonly used.:
- The buyer may contact the end users and ask for their evaluations; the buyer may rate the supplier on several criteria using a weighted score method; or the buyer might aggregate the cost of poor performance to come up with adjusted costs of purchase, including price.
- The performance review may lead the buyer to continue, modify, or end a supplier relationship.
- Many companies have set up incentive systems to reward purchasing managers for good buying performance, in much the same way that sales personnel receive bonuses for good selling performance.
- These systems are leading purchasing managers to increase pressure on sellers for the best terms.

CH-4: CUSTOMER-DRIVEN MARKETING STRATEGY:

● CHAPTER OBJECTIVES:

- Define the four major steps in designing a customer-driven marketing strategy: market segmentation, market targeting, differentiation, and positioning.
- List and discuss the major bases for segmenting markets.
- Explain how companies identify attractive market segments and choose a market targeting strategy.
- Discuss how companies differentiate and position their products for maximum competitive advantage.

Introduction

- Most companies have moved away from mass marketing and toward *target marketing*— identifying market segments, selecting one or more of them, developing products and marketing programs tailored to each.
- **Market segmentation** involves dividing a market into smaller groups of buyers with: distinct needs, characteristics, or behaviors that might require separate marketing strategies or mixes.
- **Market targeting** (or **targeting**) consists of evaluating each market segment's attractiveness and selecting one or more market segments to enter.
- **Differentiation** involves actually differentiating the firm's market offering to create superior customer value.
- **Positioning** consists of arranging for a market offering to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers.

Segmenting Consumer Markets

1. Geographic Segmentation

- calls for dividing the market into different geographical units such as nations, regions, states, counties, cities, or even neighborhoods.

2. Demographic Segmentation:

Demographic Descriptors	Examples of Categories
Age	Under 2, 2–5, 6–11, 12–17, 18–24, 25–34, 35–49, 50–64, 65 and over
Sex	Male, female
Household life cycle	Young, single; newly married, no children; youngest child under 6; youngest child 6 or over; older couples with dependent children; older couples without dependent children; older couples retired; older, single
Income	Under \$15,000, \$15,000–24,999; \$25,000–74,999, etc.
Occupation	Professional, manager, clerical, sales, supervisor, blue collar, homemaker, student, unemployed
Education	Some high school, graduated high school, some college, graduated college
Events	Birthdays, graduations, anniversaries, national holidays, sporting events
Race and ethnic origin	Anglo-Saxon, African-American, Italian, Jewish, Scandinavian, Hispanic, Asian

Segmenting Consumer Markets

3. Psychographic Segmentation

- divides buyers into different groups based on social class, lifestyle, or personality characteristics.
- Marketers also use *personality* variables to segment markets

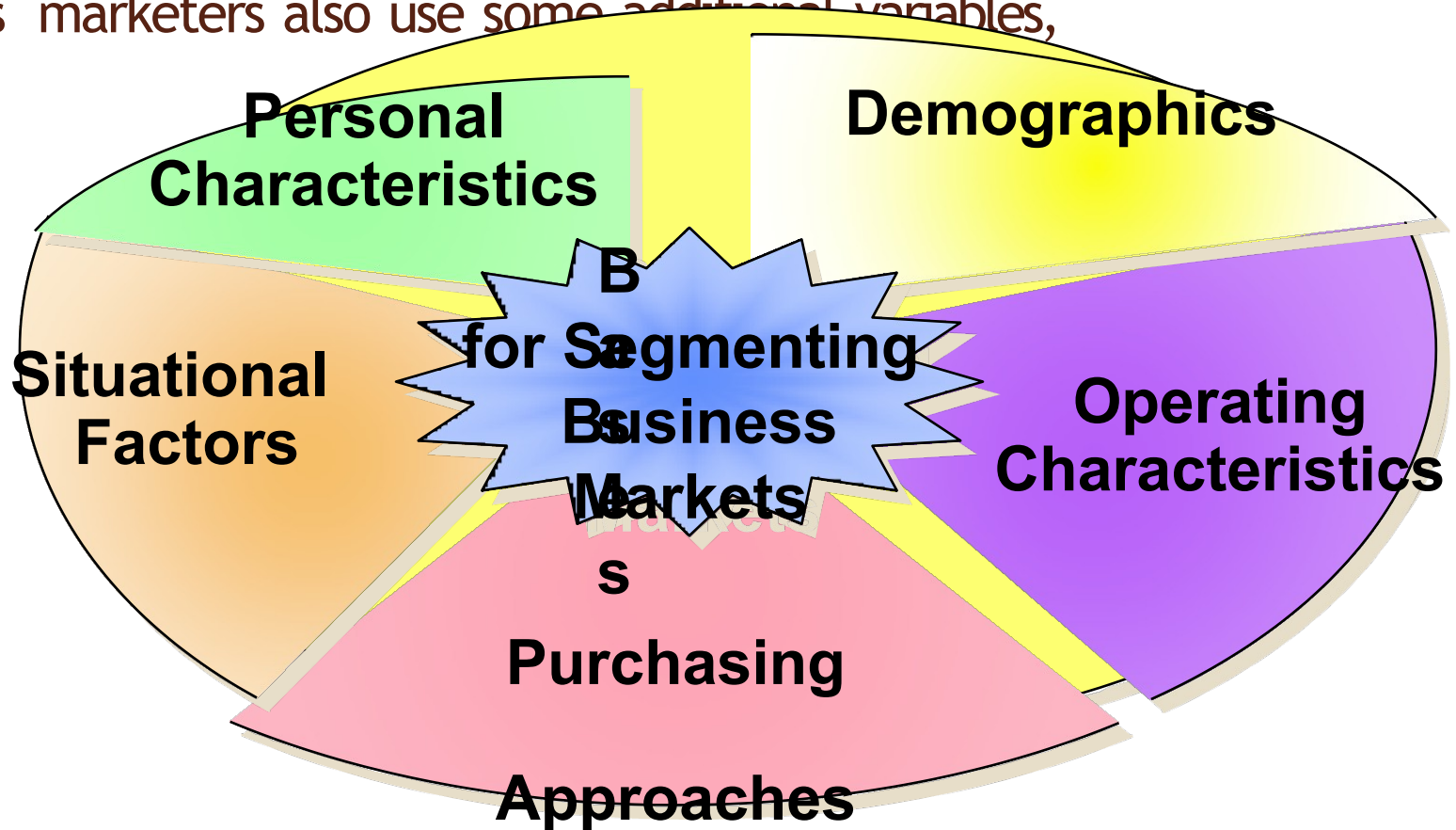
4. Behavioral Segmentation

- divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product.
- **Occasion segmentation** means grouping buyers according to occasions when they get the idea to buy, actually make their purchase, or use the purchased item.
- **Benefit segmentation** means grouping buyers according to the different benefits that they seek from the product.
- **User Status** means segmenting markets into nonusers, ex-users, potential users, first-time users, and regular users of a product.
- **Usage Rate** means grouping markets into light, medium, and heavy product users.
- **Loyalty Status** means dividing buyers into groups according to their degree of loyalty.

Segmenting Business Markets

Consumer and business marketers use many of the same variables to segment their markets.

Business marketers also use some additional variables, such as



Segmenting International Markets

Companies can segment international markets using one or a combination of several variables.

- ***Geographic location:*** Nations close to one another will have many common traits and behaviors.
- ***Economic factors:*** Countries may be grouped by population income levels, or by their overall level of economic development.
- ***Political and legal factors:*** Type and stability of government, receptivity to foreign firms, monetary regulations, and the amount of bureaucracy.
- ***Cultural factors:*** Grouping markets according to common languages, religions, values and attitudes, customs, and behavioral patterns
- **Intermarket segmentation** is segmenting of consumers who have similar needs and buying behavior even though they are located in different countries

Segmentation

Requirements for Effective Segmentation

To be useful, market segments must be:

- **Measurable:** The size, purchasing power, and profiles of the segments can be measured.
- **Accessible:** The market segments can be effectively reached and served.
- **Substantial:** The market segments are large or profitable enough to serve.
- **Differentiable:** The segments are conceptually distinguishable and respond differently to different marketing mix elements and programs.
- **Actionable:** Effective programs can be designed for attracting and serving the segments.

MARKET TARGETING

1. Evaluating Market Segments

In evaluating different market segments, a firm must look at three factors:

- **Segment size and growth**(Analyze sales, growth rates and expected profitability.
- **Company Objectives and Resources**
 - Company skill & resource relative to the segment(s).
 - Look for Competitive Advantages
- **Segment Structural Attractiveness** (Consider effects of: Competitors, Availability of Substitute Products and, the Power of Buyers & Suppliers.
- A segment is less attractive if :
 - it already contains many strong and aggressive *competitors*.
 - There are many actual or potential *substitute products*
 - The relative *power of buyer is high* .
 - it contains *powerful suppliers* who can control prices.

MARKET TARGETING

2. Selecting Target Market Segments

- A **target market** consists of a set of buyers who share common needs or characteristics that the company decides to serve. The following are the levels of segmentation.

1. Undifferentiated Marketing

- **mass-marketing-** strategy, a firm might decide to ignore market segment differences and target the whole market with one offer.
- This mass-marketing strategy focuses on what is *common* in the needs of consumers rather than on what is *different*.

2. Differentiated Marketing

- It is also called **segmented marketing** strategy, where a firm decides to target several market segments and designs separate offers for each.

MARKET TARGETING

3. Concentrated Marketing

- Using a **niche marketing**) strategy, instead of going after a small share of a large market, the firm goes after a large share of one or a few smaller segments or niches.
- It can market more *effectively* by fine-tuning its products, prices, and programs to the needs of carefully defined segments.
- It can market more *efficiently*, targeting its products or services, channels, and communications programs toward only consumers that it can serve best and most profitably.

4. Micromarketing

- is the practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations.
- Micromarketing includes *local marketing* and *individual marketing*.

MARKET TARGETING

- **Local marketing** involves tailoring brands and promotions to the needs and wants of local customer groups— cities, neighborhoods, and even specific stores.
- Local marketing has drawbacks.
 - It can drive up manufacturing and marketing costs by reducing economies of scale.
 - It can create logistics problems.
- **Individual marketing is the** tailoring of products and marketing programs to the needs and preferences of individual customers.
- Individual marketing has also been labeled *one-to-one marketing*, *mass customization*, and *markets-of-one marketing*.

MARKET TARGETING

3. Choosing a Targeting Strategy Which strategy is best depends on:

- Company resources
- Product variability
- Product's life-cycle stage
- Degree of product variability, homogeneity
- Market homogeneity
- Competitors' marketing strategies

MARKET TARGETING

Socially Responsible Target Marketing

- Target marketing sometimes generates controversy and concern. Issues usually involve the targeting of vulnerable or disadvantaged consumers with controversial or potentially harmful products.
- Marketers of a wide range of industries have been criticized for their marketing efforts directed toward children.
- Problems arise when marketing adult products to kids, whether intentionally or unintentionally.
- The growth of the Internet and other carefully targeted direct media has raised new concerns about potential targeting abuses.
- The issue is not so much *who* is targeted, but *how* and for *what*.
- Controversies arise when marketers attempt to profit by unfairly targeting vulnerable segments or target them with questionable products or tactics.
- Socially responsible marketing calls for segmentation and targeting that serve not just the interests of the company, but also the interests of those targeted

Step 3. Positioning for Competitive Advantage

▪ Product's Position

- Product's Position - the place the product occupies in consumers' minds relative to competing products; i.e. Volvo positions on "safety".
- Perceptual mapping is a research tool used to measure a brand's position
- Marketers must:
 - *Plan* positions to give products the greatest advantage
 - Develop marketing mixes to create planned positions

Positioning for Competitive Advantage

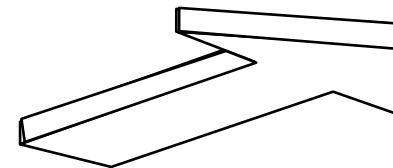
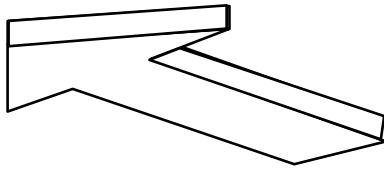
Positioning for Competitive Advantage

- **Choosing a Differentiation and Positioning Strategy**
- The differentiation and positioning task consists of three steps:
 1. Identifying a set of differentiating competitive advantages upon which to build a position
 2. Choosing the right competitive advantages
 3. Selecting an overall positioning strategy

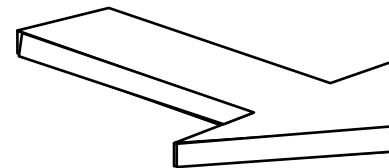
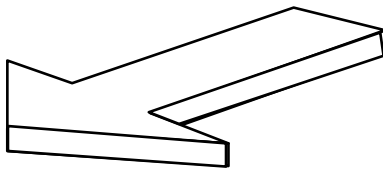
Developing Competitive Differentiation

Product

Service



**Areas for Competitive
Differentiation**



Personnel

Image

Positioning for Competitive Advantage

2. Choosing the Right Competitive Advantages

❑ How Many Differences to Promote

- a company should develop a *unique selling proposition* (USP) for each brand and stick to it or position itself on more than one differentiator.

❑ Which Differences to Promote

A difference is worth establishing to the extent that it satisfies the following criteria:

- **Important:** The difference delivers a highly valued benefit to target buyers.
- **Distinctive:** Competitors do not offer the difference, or the company can offer it in a more distinctive way.
- **Superior.** : The difference is superior to other ways that customers might obtain the same benefit
- **Communicable:** The difference is communicable and visible to buyers.
- **Preemptive:** Competitors cannot easily copy the difference.
- **Affordable:** Buyers can afford to pay for the difference.
- **Profitable:** The company can introduce the difference profitably.

Positioning for Competitive Advantage

3. Selecting an Overall Positioning Strategy

- The full positioning of a brand is called the brand's **value proposition**.
 - **More for More** positioning involves providing the most upscale product or service and charging a higher price to cover the higher costs.
 - **More for the Same** positioning involves introducing a brand offering comparable quality but at a lower price.
 - **The Same for Less positioning** can be a powerful value proposition— everyone likes a good deal.
 - **Less for Much Less positioning** is offering products that offer less and therefore cost less. This involves meeting consumers' lower performance or quality requirements at a much lower price.
 - **More for Less positioning** is the winning value proposition.

CH-5: MARKETING MIX

- **CHAPTER OBJECTIVES:**
- Define *product* and the major classifications of products and services.
- Describe the decisions companies make regarding their:
 - individual products and services,
 - product lines,
 - product mixes.
- Identify the four characteristics that affect the marketing of a service and the additional marketing considerations that services require

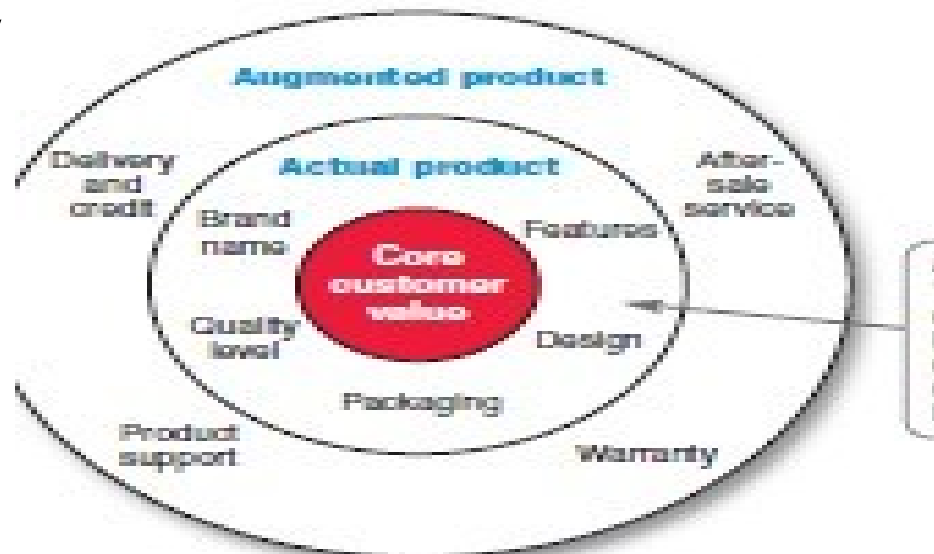
WHAT IS A PRODUCT?

- A **product** is anything that can be offered to a market for attention, acquisition, use, or consumption that might satisfy a want or need.
- Broadly defined, “products” also include services, events, persons, places, organizations, ideas, or mixes of these.
- **Services** are a form of product that consists of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything.

WHAT IS A PRODUCT?

□ 3 Levels of Product and Services

- *Core customer value*, which addresses the question: What is the buyer really buying?
- *Actual product*.
- *Augmented product*, which is created around the core benefit and actual product by benefits



Product and Service Classifications

- There are two main classifications of products: *consumer products* and *industrial products*.
- **Consumer Products**
 - **Consumer products** are products and services bought by final consumers for personal consumption.
 - **Consumer products include:**
 - **Convenience products** are consumer products and services that customers usually buy frequently, immediately, and with a minimum of comparison and buying effort.
 - **Shopping products** are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.
 - **Specialty products** are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort.
 - **Unsought products** are consumer products that the consumer either does not know about or knows about but does not normally think of buying.

Product and Service Classifications....

Marketing Considerations	Type of Consumer Product			
	Convenience	Shopping	Specialty	Unsought
Customer buying behavior	Frequent purchase; little planning, little comparison or shopping effort; low customer involvement	Less frequent purchase; much planning and shopping effort; comparison of brands on price, quality, and style	Strong brand preference and loyalty; special purchase effort; little comparison of brands; low price sensitivity	Little product awareness; knowledge (or, if aware, little or even negative interest)
Price	Low price	Higher price	High price	Varies
Distribution	Widespread distribution; convenient locations	Selective distribution in fewer outlets	Exclusive distribution in only one or a few outlets per market area	Varies
Promotion	Mass promotion by the producer	Advertising and personal selling by both the producer and resellers	More carefully targeted promotion by both the producer and resellers	Aggressive advertising and personal selling by the producer and resellers
Examples	Toothpaste, magazines, and laundry detergent	Major appliances, televisions, furniture, and clothing	Luxury goods, such as Rolex watches or fine crystal	Life insurance and Red Cross blood donations

Product and Service Classifications

❑ Industrial Products

- Industrial products are those purchased for further processing or for use in conducting a business.
- The three groups of industrial products and services are:

1. **Materials and parts** include

- ✓ raw materials(Farm products such as wheat cotton, fruit, vegetables ; natural products such as lumber, crude petroleum)
- ✓ manufactured materials and parts. (Iron, cement; small motors, wires, tires).
- *Mostly directly sold to the user. Price and services are the major marketing factor rather than branding and advertising.*

II. Capital items are industrial products that aid in the buyer's production or operations, including installations(eg. Buildings, fixed equipment's) and accessories(eg. Office equipment.)

II. Supplies and services include operating supplies(leg. ubricants, stationery materials, paints, nails) and maintenance and repair services (eg. window cleaning, management consulting, etc.)

❑ Organizations, Persons, Places, and Ideas

- ***Organization marketing*** consists of activities undertaken to create, maintain, or change the attitudes and behavior of target consumers toward an organization.
- ***Person marketing*** consists of activities undertaken to create, maintain, or change attitudes or behavior toward particular people.
- ***Place marketing*** involves activities undertaken to create, maintain, or change attitudes or behavior toward particular places.
- **Social marketing** is the use of commercial marketing concepts and tools in programs designed to bring about social change.

PRODUCT AND SERVICE DECISIONS

- ❑ Marketers make product and service decisions at three levels:
 - i. Individual Product and Service Decisions
 - ii. Product line decisions
 - iii. product mix decisions.

1. Individual Product and Service Decisions



A). Product and Service Attributes:

- Developing a product or service involves defining the benefits that it will offer.
- These benefits are communicated and delivered by product attributes such as *quality, features, and style and design*.

PRODUCT AND SERVICE DECISIONS

- **Product Quality** is creating customer value and satisfaction.
- Product quality has two dimensions: level and consistency:
 - **The quality level** means the ability of a product to perform its functions.
 - **Quality conformance** means quality consistency, freedom from defects, and consistency in delivering a targeted level of performance.
- **Product Features** are a competitive tool for differentiating the company's product from competitors' products.
- The company should periodically survey buyers who have used the product and ask these questions: How do you like the product? Which specific features of the product do you like most? Which features could we add to improve the product?
- **Product Style and Design**
- *Style* describes the appearance of a product.
- *Design* contributes to a product's usefulness as well as to its looks

PRODUCT AND SERVICE DECISIONS

Branding

- A **brand** is a name, term, sign, symbol, or design, or a combination of these, that identifies the maker or seller of a product or service.
- **Branding helps buyers in many ways:**
 - identify products that might benefit them.
 - say something about product quality and consistency.
- **Branding gives the seller several advantages:**
 - High brand equity provides a company with many competitive advantages.
 - High level of consumer brand awareness and loyalty
 - More leverage in bargaining with resellers
 - More easily launch line and brand extensions
 - Defense against fierce price competition
 - Forms the basis for building strong and profitable customer relationships

PRODUCT AND SERVICE DECISIONS

Brand Name Selection

- Desirable qualities for a brand name include the following:
- It should suggest something about the product's benefits and qualities.
- It should be easy to pronounce, recognize, and remember.
- The brand name should be distinctive.
- It should be extendable.
- The name should translate easily into foreign languages.
- It should be capable of registration and legal protection.

PRODUCT AND SERVICE DECISIONS

Packaging

- ❑ **Packaging** involves designing and producing the container or wrapper for a product.
- ❑ **Packaging Objectives**
 - Identify the brand
 - Convey descriptive and persuasive information
 - Facilitate product transportation and protection
 - Assist at-home storage
 - Aid product consumption
 - A product's package is often referred to as a “silent salesperson” and is the last marketing effort consumers see before they make a selection in the store.
 - One model used to evaluate a product's package is the VIEW model:
Visibility, Information, Emotion, and Workability.

PRODUCT AND SERVICE DECISIONS

Labeling

- Labels range from simple tags attached to products to complex graphics that are part of the packaging.
- Labels perform several functions:
 - The label *identifies* the product or brand.
 - The label *describes* several things about the product.
 - The label *promotes* the brand.
- Labeling also raises concerns. As a result, several federal and state laws regulate labeling.
- Labeling has been affected in recent times by:
 - *Unit pricing* (stating the price per unit of standard measure)
 - *Open dating* (stating the expected shelf life of the product)
 - *Nutritional labeling* (stating the nutritional values in the product)

PRODUCT AND SERVICE DECISIONS

□ Product Line Decisions

- A **product line** is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges. It involves
- **Product line length** is the number of items in the product line.
- **Product line filling** involves adding more items within the present range of the line.
- **Product line stretching** occurs when a company lengthens its product line beyond its current range.
 - Companies located at the upper end of the market can stretch their lines *downward*.
 - Companies located at the lower end of the market can stretch their product lines *upward*. For example Honda launched Acura; Toyota launched Lexus; and Nissan launched Infiniti.
 - Companies located in the middle range of the market can stretch their lines in *both directions*.

Product Mix Decisions

- **Product mix (or product portfolio)** consists of all the product lines and items that a particular seller offers for sale.
- A company's product mix has four dimensions: width, length, depth, and consistency.
- **Product mix *width*** refers to the number of different product lines the company carries.
- **Product mix *length*** refers to the total number of items the company carries within its product lines.
- **Product mix *depth*** refers to the number of versions offered of each product in the line.
- **Product mix *consistency*** refers to how closely related the various product lines are in end use, production requirements, distribution channels, or some other way.
- For example Colgate's product mix consists of four major product lines: oral care, personal care, home care, and pet nutrition
- Each product line consists of several sublines. For example, the home care line consists of dishwashing, fabric conditioning, and household cleaning products. Each line and subline has many

Product-Mix Width and Product-Line Length for Procter & Gamble Products

	Product-Mix Width				
	Disposabl				
	Detergents	Toothpaste	e Bar Soap	Diapers	Paper Tissue
PRODUCT- LINE LENGTH	Ivory Snow (1930)	Gleem (1952)	Ivory (1879)	Pampers (1961)	Charmin (1928)
	Dreft (1933)	Crest (1955)	Kirk's (1885)	Luvs (1976)	Puffs (1960)
	Tide (1946)		Lava (1893)		Banner (1982)
	Cheer (1950)		Camay (1926)		Summit (1992)

SERVICES MARKETING

- Services make up 64 percent of gross world product.
- Service industries vary greatly.
- **Governments** offer services through courts, employment services, hospitals, military services, police and fire departments, the postal service, and schools.
- **Private not-for-profit organizations** offer services through museums, charities, foundations, churches, and hospitals. colleges
- A large number of *business organizations* offer services—airlines, banks, hotels, insurance companies, consulting firms, medical and legal practices, entertainment and telecommunications companies, real-estate firms, retailers, and others

SERVICES MARKETING

The Nature and Characteristics of a Service

- A company must consider four service characteristics when designing marketing programs: *intangibility*, *inseparability*, *variability*, and *perishability*
- **Service intangibility** means that services cannot be seen, tasted, felt, heard, or smelled before they are bought.
- **Service inseparability** means that services cannot be separated from their providers, whether the providers are people or machines. Because the customer is also present as the service is produced, *provider-customer interaction* is a special feature of services marketing.
- **Service variability** means that the quality of services depends on who provides them as well as when, where, and how they are provided.
- **Service perishability** means that services cannot be stored for later sale or use



5.2. Pricing: Understanding and capturing customer value

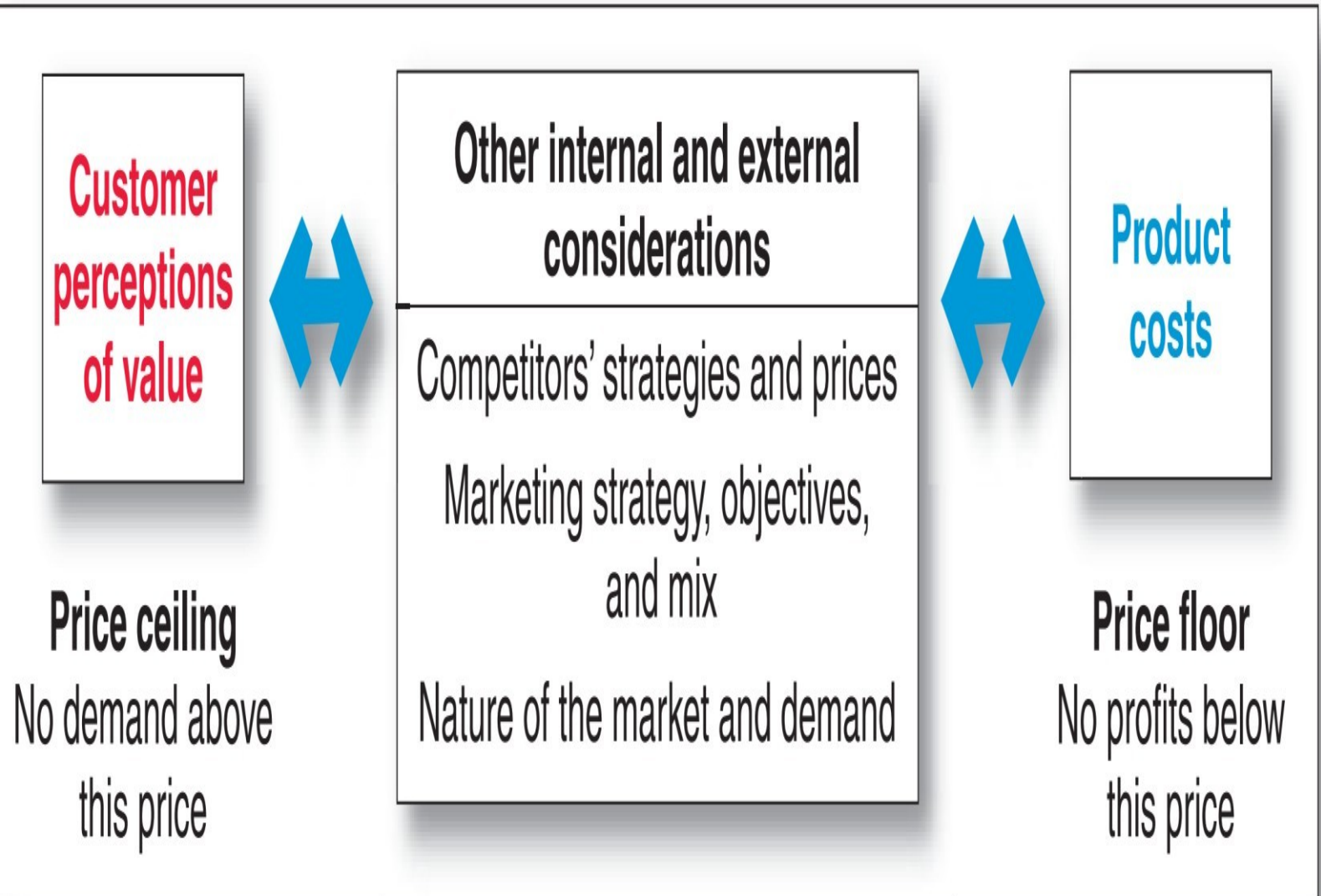
5.2. Pricing:

- Answer the question “What is a price?” and discuss the importance of pricing in today’s fast-changing environment.
- Identify the three major pricing strategies and discuss the importance of understanding customer-value perceptions, company costs, and competitor strategies when setting prices.
- Identify and define the other important external and internal factors affecting a firm’s pricing decisions.

What is price?

- In the narrowest sense, price is the amount of money charged for a product or a service.
- More broadly, price is the sum of all the values that customers give up to gain the benefits of having or using a product or service
- Price is the only element in the marketing mix that produces revenue; all other elements represent costs.
- Price is also one of the most flexible marketing mix elements.
- Unlike product features and channel commitments, prices can be changed quickly.
- At the same time, pricing is the number-one problem facing many marketing executives, and many companies do not handle pricing well

Major Pricing strategies



- Customer perceptions of the product's value set the ceiling for prices.
- If customers perceive that the product's price is greater than its value, they will not buy the product.
- Product costs set the floor for prices. If the company prices the product below its costs, the company's profits will suffer.
- In setting its price between these two extremes, the company must consider several internal and external factors, including competitors' strategies and prices, the overall marketing strategy and mix, and the nature of the market and demand

major pricing strategies....

- customer value-based pricing
- cost based pricing,
- competition-based pricing

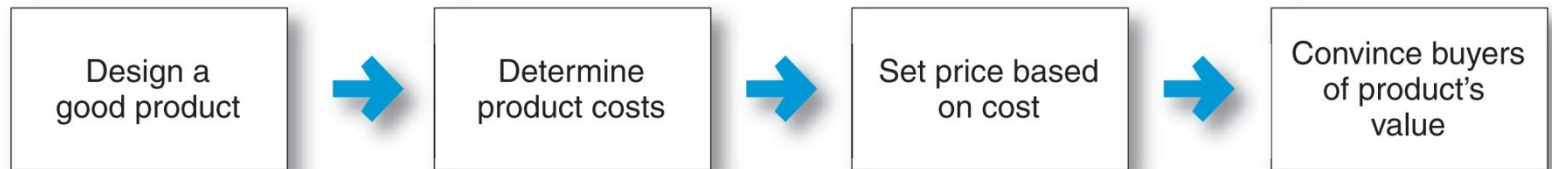
1) customer value-based pricing

- involves understanding how much value consumers place on the benefits they receive from the product and setting a price that captures this value.
- Price is considered along with all other marketing mix variables before the marketing program is set.

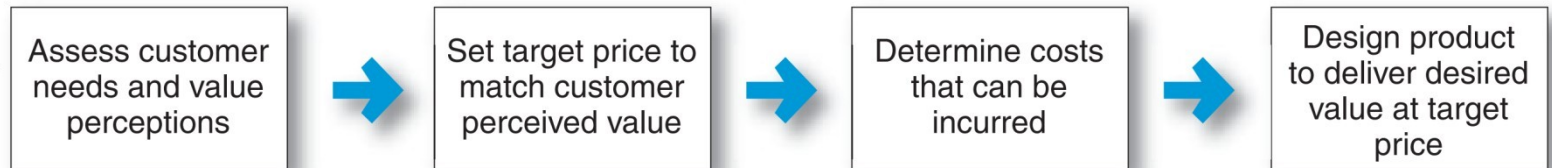
2), Cost based pricing

- involves setting prices based on the costs for producing, distributing, and selling the product plus a fair rate of return for its effort and risk.
- A company's costs may be an important element in its pricing strategy
- Types of Costs: Fixed costs (overhead)+Variable costs =Total costs

Cost-based pricing



Value-based pricing



- Cost based pricing approach include:
 - **Cost-Plus Pricing**- adding a standard markup to the cost of the product.
 - ✓ Construction companies, for example, submit job bids by estimating the total project cost and adding a standard markup for profit
 - Break-Even Analysis and Target Profit Pricing
 - ✓ The firm tries to determine the price at which it will break even or make the target return it is seeking.
 - ✓ For example, the manufacturer considers different prices and estimate break-even volumes, probable demand, and profits for each unit of production

Competition-Based Pricing:

- involves setting prices based on competitors' strategies, costs, prices, and market offerings.
- Consumers will base their judgments of a product's value on the prices that competitors charge for similar products.
- If consumers perceive that the company's product or service provides greater value, the company can charge a higher price.
- If consumers perceive less value relative to competing products, the company must either charge a lower price or change customer perceptions to justify a higher price
- Next, how strong are current competitors, and what are their current pricing strategies?
- If the company faces a host of smaller competitors charging high prices relative to the value they deliver, it might charge lower prices to drive weaker competitors from the market.
- If the market is dominated by larger, low-price competitors, the company may decide to target unnerved market niches with value-added products at higher prices

- Other factors affecting price decisions
 - ✓ 1). Internal factors: include the company's: overall marketing strategy, objectives and marketing mix,
 - ✓ other organizational considerations.
 - 2). External factors : include-
 - ✓ the nature of the market and demand and
 - ✓ other environmental factors

Internal factors...

- ❑ Overall Marketing Strategy, Objectives, and Mix
 - ✓ Price decisions must be coordinated with product design, distribution, and promotion decisions to form a consistent and effective integrated marketing program.
 - ✓ Decisions made for other marketing mix variables may affect pricing decisions
- ❑ Organizational Considerations:
 - Management must decide who within the organization should set prices:
 - ✓ In small companies, prices are often set by top management
 - ✓ In large companies, pricing is typically handled by divisional or product line managers.
 - ✓ In industrial markets, salespeople may be allowed to negotiate with customers within certain price ranges

The Market and Demand

- Under pure competition, the market consists of many buyers and sellers trading in a uniform commodity, such as wheat, copper, or financial securities
- Under monopolistic competition, the market consists of many buyers and sellers who trade over a range of prices rather than a single market price
- Under oligopolistic competition, the market consists of a few sellers who are highly sensitive to each other's pricing and marketing strategies
- In a pure monopoly, the market consists of one seller

- 5.3. Marketing Channel:

Supply Chain and Value delivery Network

Marketing Channel:

- Producing a product or service and making it available to buyers requires building relationships not only with customers but also with key suppliers and resellers in the company's supply chain.
- This supply chain consists of upstream and downstream partners.
- Upstream from the company is the set of firms that supply the raw materials, components, parts, information, finances, and expertise needed to create a product or service.
- Marketers, however, have traditionally focused on the downstream side of the supply chain—on the marketing channels(or distribution channels) that look toward the customer.
- Downstream marketing channel partners, such as wholesalers and retailers, form a vital connection between the firm and its customers

The Nature and Importance of Marketing Channels

- marketing channel (or distribution channel)— a set of interdependent organizations that help make a product or service available for use or consumption by the consumer or business user.
- A company's channel decisions directly affect every other
 - marketing decision.
- Pricing depends on whether the company works with national discount chains, uses high-quality specialty stores, or sells directly to consumers via the Web.
- The firm's sales force and communications decisions depend on how much persuasion, training, motivation, and support its channel partners need.
- Whether a company develops or acquires certain new products may depend on how well those products fit the capabilities of its channel members

How Channel Members Add Value

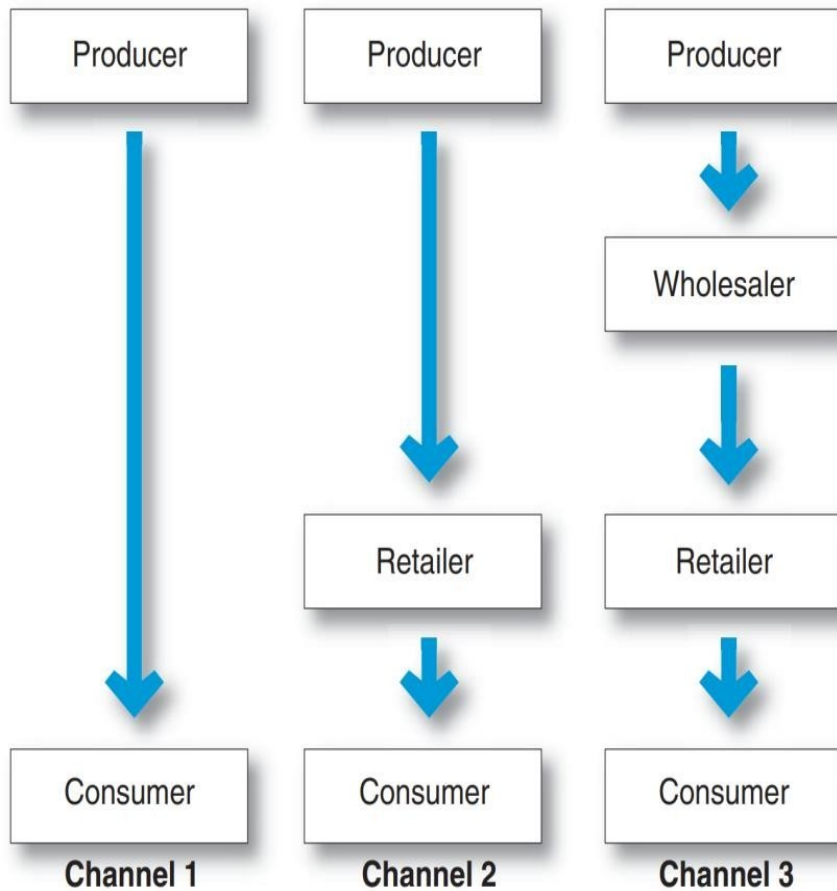
- Producers use intermediaries because they create greater efficiency in making goods available to target markets.
- Marketing channel members buy large quantities from many producers and break them down into the smaller quantities and broader assortments desired by consumers.
- In making products and services available to consumers, channel members add value by bridging the major time, place, and possession gaps that separate goods and services from those who use them

Functions of channel members

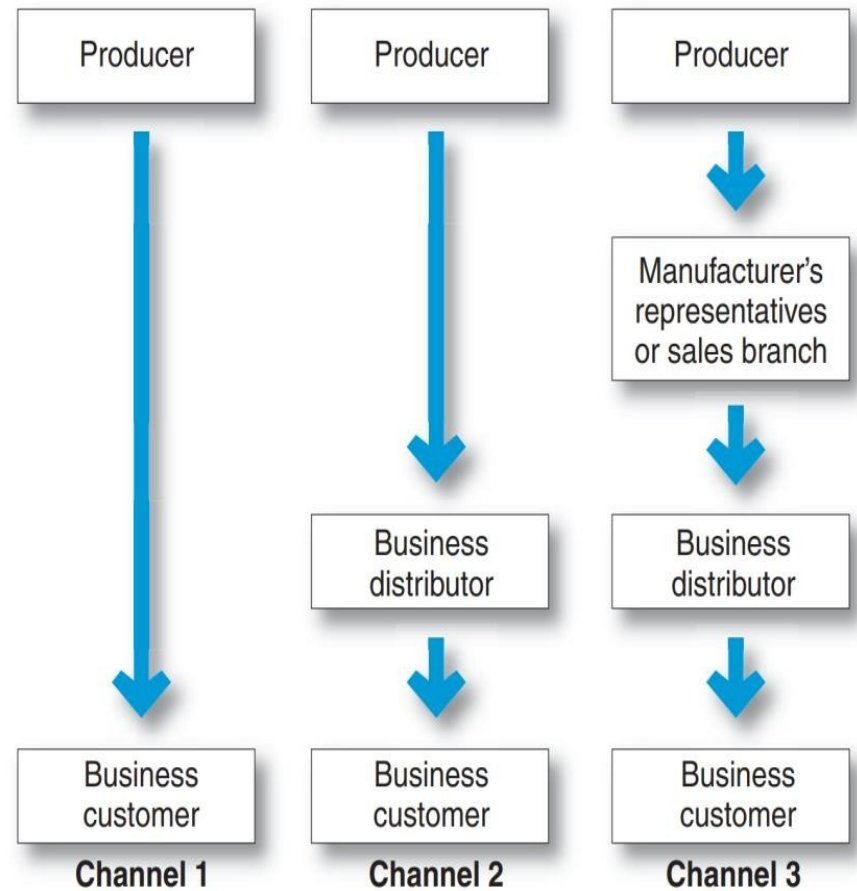
- Members of the marketing channel perform many key functions.
:
- **Information:** Gathering and distributing marketing research and intelligence information about actors and forces in the marketing environment needed for planning and aiding exchange.
- **Promotion:** Developing and spreading persuasive communications about an offer.
- **Contact:** Finding and communicating with prospective buyers. •
Matching: Shaping and fitting the offer to the buyer's needs, including activities such as manufacturing, grading, assembling, and packaging
- **Negotiation:** Reaching an agreement on price and other terms of the offer so that ownership or possession can be transferred.
- **Physical distribution:**Transporting and storing goods.
- **Financing:** Acquiring and using funds to cover the costs of the channel work.

Number of Channel Levels

- Channel level A layer of intermediaries that performs some work in bringing the product and its ownership closer to the final buyer
- The number of intermediary levels indicates the length of a channel which can be:
 - **Direct channel** that has no intermediary levels.
 - **Indirect marketing channel** which contains one or more intermediary levels



A. Customer marketing channels



B. Business marketing channels

Channel Design Decisions

- Marketing channel design calls for analyzing consumer needs, setting channel objectives, identifying major channel alternatives, and evaluating those alternatives.

1. Analyzing Consumer Needs

- designing the marketing channel starts with finding out what target consumers want from the channel.
- Do consumers want to buy from nearby locations or are they willing to travel to more distant and centralized locations?
- Would customers rather buy in person, by phone, or online?
- Do they value breadth of assortment or do they prefer specialization?
- Do consumers want many add-on services (delivery, installation, repairs), or will they obtain these services elsewhere?
- The faster the delivery, the greater the assortment provided, and the more add-on services supplied, the greater the channel's service level.

Channel Design Decisions

2. Setting Channel Objectives

- Companies should state their marketing channel objectives in terms of targeted levels of customer service.
- The company's channel objectives are also influenced by the nature of the company, its products, its marketing intermediaries, its competitors, and the environment
- For example, the company's size and financial situation determine which marketing functions it can handle itself and which it must give to intermediaries.
- Companies selling perishable products may require more direct marketing to avoid delays and too much handling. In some cases, a company may want to compete in or near the same outlets that carry competitors' products.
- For example, Maytag wants its appliances displayed alongside competing brands to facilitate comparison shopping. In other cases, companies may avoid the channels used by competitors.

Channel Design Decisions

3. Identifying Major Alternatives

Major channel alternatives in terms of the:

- **types of intermediaries:** direct, indirect and/or combination
- **number of intermediaries**
- ✓ **Intensive distribution** -stocking the product in as many outlets as possible.
- ✓ **Exclusive distribution** Giving a limited number of dealers the exclusive right to distribute the company's products in their territories.
- ✓ **Selective distribution** The use of more than one but fewer than all the intermediaries who are willing to carry the company's products
- **responsibilities of each channel member**
- ✓ The producer and the intermediaries need to agree on the terms and responsibilities of each channel member.
- ✓ They should agree on price policies, conditions of sale, territory rights, and the specific services to be performed by each party.
- ✓ The producer should establish a list price and a fair set of discounts for the intermediaries. It must define each channel member's territory, and it should be careful about where it places new resellers

Channel Design Decisions

4. Evaluating the Major Alternatives

- **economic criteria**, a company compares the likely sales, costs, and profitability of different channel alternatives.
- **control issues**. Other things being equal, the company prefers to keep as much control as possible
- **Adaptability criteria**. Channels often involve long-term commitments, yet the company wants to keep the channel flexible so that it can adapt to environmental changes.

Thus, to be considered, a channel involving long-term commitments should be greatly superior on economic and control grounds.

Promotion Mix

- The promotion mix is the marketer's bag of tools for communicating with customers and other stakeholders.
- To deliver a clear and compelling message, each tool must be carefully coordinated under the concept of integrated marketing communications
- Promotion mix (or marketing communications mix) The specific blend of promotion tools that the company uses to persuasively communicate customer value and build customer relationships.
- The five major promotion tools are defined as follows:
Advertising, Sales promotion, Personal selling Public relations (PR), Direct marketing

- **Advertising:** Any paid form of non- personal presentation and promotion of ideas, goods, or services by an identified sponsor.
- **Sales promotion:** Short-term incentives to encourage the purchase or sale of a product or service.
- **Personal selling:** Personal presentation by the firm's sales force for the purpose of making sales and building customer relationships.
- **Public relations:** Building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.
- **Direct marketing:** Direct connections with carefully targeted individual consumers to
- both obtain an immediate response and cultivate lasting customer relationships.

Promotion Mix....

- Each category involves specific promotional tools used to communicate with customers.
- For example, advertising includes broadcast, print, Internet, outdoor, and other forms.
- Sales promotion includes discounts, coupons, displays, and demonstrations.
- Personal selling includes sales presentations, trade shows, and incentive programs.
- Public relations (PR) includes press releases, sponsorships, special events, and Web pages. And direct marketing includes catalogs, telephone marketing, kiosks, the Internet, mobile marketing, and more.

Promotion Mix....

- At the same time, marketing communication goes beyond these specific promotion tools.
- The product's design, its price, the shape and color of its package, and the stores that sell it all communicate something to buyers.
- Thus, although the promotion mix is the company's primary communications activity, the entire marketing mix—promotion and product, price, and place— must be coordinated for greatest impact.

Promotion Mix....

- In past decades, marketers perfected the art of mass marketing: selling highly standardized products to masses of customers.
- In the process, they developed effective mass-media communications techniques to support these strategies.
- Large companies now routinely invest millions or even billions of dollars in television, magazine, or other mass-media advertising, reaching tens of millions of customers with a single ad.
- Today, however, marketing managers face some new marketing communications realities.
- Perhaps no other area of marketing is changing so profoundly as marketing communications, creating both exciting and anxious times for marketing communicators